



Statement of Issues

23 May 2024

Global Payments Australia 1 Pty Ltd – proposed acquisition of School Bytes Learning Pty Ltd

Purpose

1. Global Payments Australia 1 Pty Ltd (**Global Payments**) proposes to acquire School Bytes Learning Pty Ltd (**School Bytes**) (the **proposed acquisition**). Global Payments' subsidiary, Sentral Pty Ltd (**Sentral**), and School Bytes are both suppliers of School Administration Software.
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the proposed acquisition
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the proposed acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this

Statement of Issues there are two ‘issues of concern’ and one ‘issue that may raise concerns’.

Issues of concern

6. There are several different categories of School Administration Software and more information about each category is in paragraph 24 below. The ACCC’s competition concerns relate to the supply of Student Administration Software and School Management & Operations Software (collectively known as **School Information Software**) and the supply of Student Finance Software.
7. The ACCC’s preliminary view is that the proposed acquisition is likely to substantially lessen competition in the supply of:

- School Information Software to public schools in NSW, and
- Student Finance Software to public schools in NSW.

References to public schools include both primary schools (typically, Kindergarten to Year 6) and high schools (typically, Years 7-12).

8. The ACCC is concerned that the proposed acquisition is likely to:
 - bring the two largest suppliers of School Information Software and Student Finance Software to public schools in NSW under common ownership and result in a significant increase in concentration, noting that:
 - Sentral is the largest supplier of School Information Software and School Bytes is the largest supplier of Student Finance Software
 - Sentral also has a significant share of the supply of Student Finance Software, and School Bytes has a significant share of the supply of School Information Software, and
 - Sentral and School Bytes are two (out of only three) suppliers in NSW that offer a comprehensive range of School Administration Software, and with their existing relationships with schools, they can cross-sell other categories of software.
 - reduce competition between Sentral and School Bytes, who are:
 - close competitors in respect of the supply of School Information Software to primary schools, and are becoming closer competitors in respect of the supply of School Information Software to high schools, and
 - each other’s closest competitor in respect of the supply of Student Finance Software to both primary and high schools.
 - reduce the competitive constraints of a vigorous and effective competitor in the form of School Bytes.

9. The ACCC is concerned that despite the presence of alternative School Information Software and Student Finance Software suppliers, they have only achieved marginal growth and are unlikely to impose a significant competitive constraint on Sentral and School Bytes post-acquisition. This is particularly so considering the first-mover advantages of Sentral and School Bytes, the range of their product offerings, and the challenges schools face to switching suppliers.
10. The ACCC's preliminary view is that new entry or expansion by existing suppliers on a scale sufficient to prevent a substantial lessening of competition in either the supply of School Information Software or Student Finance Software to NSW public schools appears unlikely, due to the height of barriers to entry and expansion.
11. The ACCC notes that there are agreements between School Administration Software suppliers and the NSW Department of Education (**NSW DoE**) that contain price increase limitations and minimum service level obligations (**Panel Agreements**). However, these agreements do not address the ACCC's concerns that the proposed acquisition will reduce the competitive constraint exerted by an effective competitor. Further, the ACCC is concerned that the proposed acquisition will weaken price competition below the price caps during the term of the Panel Agreements, and when the Panel Agreements are re-negotiated, the price caps may be set higher than would occur in a future without the proposed acquisition.
12. The ACCC notes that Global Payments intends to operate Sentral and School Bytes separately, at least for the duration of School Bytes' Panel Agreement, with both businesses retaining their own staff and products. However, the ACCC is concerned that common ownership will reduce the commercial incentives for Sentral and School Bytes to compete on price and non-price factors, and there is some uncertainty regarding the ability of Global Payments to implement and maintain a complete and effective separation. The ACCC's preliminary view is that the separate operation of Sentral and School Bytes, while under the common ownership of Global Payments, does not sufficiently mitigate the competition concerns that arise from the proposed acquisition.

Issue that may raise concerns

13. The ACCC's preliminary view is that the proposed acquisition may lead to a substantial lessening of competition in the supply of School Information Software and/or Student Finance Software to public schools in other Australian states or territories. The broad geographic operations of some suppliers demonstrates their ability to operate across regions. Sentral currently supplies in NSW, Western Australia, Victoria, South Australia, and the Australian Capital Territory. The ACCC considers School Bytes could potentially expand its operations beyond NSW in the future, including to compete with Sentral.
14. The ACCC is therefore continuing to investigate whether the proposed acquisition raises concerns in geographic areas outside NSW.

Making a submission

15. The ACCC invites submissions from interested parties, particularly on the following key issues:
- the closeness of competition between Sentral and School Bytes
 - the height of barriers to entry and expansion, including the ability and incentives for School Administration Software suppliers to operate across regions and different school types
 - the ease with which schools can switch School Administration Software suppliers
 - the countervailing power of the NSW DoE, for example, by easing barriers to entry and expansion, and by sponsoring or otherwise supporting entry or expansion, and
 - the competitive constraint exerted by other School Administration Software suppliers on Sentral and School Bytes.
16. Interested parties should provide submissions by **14 June 2024**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: Global Payments/School Bytes. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
17. The ACCC anticipates making a final decision on **8 August 2024**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

18. The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

19. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.

20. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Industry background

School Administration Software used by public schools in NSW

21. Schools in NSW use School Administration Software that reflects their needs, which typically depends on their size, education level (i.e., primary or high) and funding status (i.e., public or independent). Public schools must also have software that integrates with the NSW DoE's central school administration system to facilitate necessary data transfers.
22. The NSW DoE is responsible for managing more than 2,200 public schools. From 2012, the NSW DoE centrally procured School Administration Software on behalf of all NSW public schools from a third-party supplier, Tribal Group Pty Ltd (**Tribal**). Over time, many schools began to supplement Tribal's products with other software, notably Sentral's School Information Software, Tes' Timetabling Software, and School Bytes' Student Finance Software.
23. In November 2022, the NSW DoE established the Administration Marketplace Panel for Schools (**AMPS**) to facilitate the supply of School Administration Software to public schools. The NSW DoE has stated that the AMPS is intended to save schools time and effort in negotiating and managing contracts with suppliers, encourage competition amongst suppliers, and increase product innovation and cost savings for schools.¹
24. The AMPS distinguishes between five categories of School Administration Software. The ACCC notes that some suppliers, including Sentral and School Bytes, refer to Student Administration Software and School Management & Operations Software collectively as 'School Information Software'. In respect of Student Administration Software, there are core and non-core modules, and schools may acquire these modules from the same supplier or different suppliers. Core Student Administration Software modules include Attendance, Wellbeing, and Academic Reports. Other Student Administration Software modules include Behavioural Policy, Curriculum, Event Management, Sport Selection. School Management & Operations Software includes School Organisation and Medical.

¹ NSW Department of Education, [Interim Annual Report 2023](#), p 63.

Table 1: School Administration Software categories on the AMPS

a) Student Administration Software	School Information Software	Collects, stores, uses and reports on information about students
b) School Management & Operations Software		Collects, stores, uses and reports on information about staff, school assets and resources
c) Timetabling Software	Supports specialised algorithms and methods for building and optimising class, teacher and resource schedules	
d) Parent/Carer Communication & Consent Software	Provides and exchanges information between parents or carers and the school, including managing the consent process (e.g., for excursions) and other workflows	
e) Student Finance Software	Manages payments and other financial transactions with students, parents and carers, as well as records payment transactions for reconciliation with the relevant state department's corporate financial solution.	

Source: ACCC, using information from the NSW DoE and Global Payments

25. Each supplier on the AMPS has a Panel Agreement with the NSW DoE setting out the terms on which they can provide School Administration Software to public schools. Suppliers do not have separate agreements with schools; rather, schools place orders with suppliers on the terms set out in that supplier's Panel Agreement.
26. Through a tender process conducted in 2021-2022, the NSW DoE approved 12 suppliers to be on the AMPS across all categories of School Administration Software. One supplier has since terminated its Panel Agreement with the NSW DoE and exited the AMPS. Currently:
 - for School Information Software, there are 7 suppliers, being Sentral, School Bytes, Compass, Hero, Millenium, ImproMation, Educonnex. The ACCC understands some suppliers, including School Bytes, do not offer all School Information Software modules used by all schools, and
 - for Student Finance Software, there are 3 suppliers, being Sentral, School Bytes, and Compass.
27. The NSW DoE is currently undertaking a refresh of the AMPS, which has not yet concluded, and it may approve additional suppliers to supply one or more categories of School Administration Software.
28. Each supplier's Panel Agreement contains a list of prices for the supplier's products. The supplier can change the list price at any time, provided it does not exceed a pre-agreed 'capped price'. The capped price remains set for the 5-year duration of the Panel Agreement and can only be increased for CPI changes or with the NSW DoE's consent. Other pricing terms include:
 - *An automatic reduction to the capped price to reflect actual prices charged:* If the highest price a supplier charges schools is lower than the capped price

for more than 3 months, the capped price is adjusted to reflect that lower price.

- *A benchmarking process against the broader Australian market:* Once every 12 months, the NSW DoE can appoint an independent benchmarker to consider whether a supplier's rates and prices are competitive with the broader Australian market, and if they are not, the NSW DoE can require the supplier to adjust their prices accordingly.
- *A price parity requirement:* The Panel Agreement contains a 'best price' provision, which requires suppliers to ensure that their capped prices are not higher than any price they offer to their other customers in Australia for the same (or a similar) product.

29. The Panel Agreement also includes a set of minimum performance levels and service standards for suppliers to comply with, such as incident response time, work-around solution time, incident resolution time and turnaround time on requests from schools.
30. Schools order School Administration Software products via the NSW DoE intranet. Schools can request a quote from one or more suppliers and the quote given cannot exceed the list price. Suppliers must accept all orders placed and are not permitted to supply School Administration Software to NSW public schools outside the terms of the Panel Agreement.

The parties

The acquirer: Global Payments

31. Global Payments is the Australian subsidiary of Global Payments Inc., a payments technology company headquartered in Georgia, USA.
32. Global Payments owns Sentral, which was established in New South Wales in 1998 and is a supplier of School Administration Software to public and independent schools throughout Australia.
33. Sentral supplies Student Administration Software and School Management & Operations Software (i.e., School Information Software), Parent/Carer Communication & Consent Software, and Student Finance Software to NSW public schools. Sentral began supplying School Information Software to NSW public schools in 2006 and Student Finance Software to NSW public schools from around 2023.

The target: School Bytes

34. School Bytes is an Australian company, which was established in New South Wales in 2015 and is approved under the AMPS to supply Student Administration Software and School Management & Operations Software (i.e., School Information Software), Parent/Carer Communication & Consent Software, and Student Finance Software.

35. School Bytes initially only supplied NSW public schools with Student Finance Software, but since around 2023, began supplying School Information Software to NSW public primary schools and some School Information Software modules to NSW public high schools. School Bytes currently only supplies NSW public schools.

Other industry participants

36. Compass Education Pty Ltd (**Compass**) was established in Victoria in 2009 and supplies School Administration Software to public and independent schools throughout Australia. Compass commenced supplying NSW public schools in 2017 and is approved under the AMPS to supply all five categories of School Administration Software.
37. Hero Software For Schools Pty Limited (**Hero**) is a supplier of School Administration Software in New Zealand. It commenced operating in NSW in 2022 and is approved under the AMPS to supply Student Administration Software and Parent/Carer Communication & Consent Software. It also has a Student Finance Software product that is widely used in New Zealand and its website notes that a Student Finance Software product is 'coming soon' to NSW.²
38. In addition to Compass and Hero, there are 7 other suppliers approved under the AMPS. These suppliers focus on specific categories of School Administration Software or only supply to a limited number of schools.
39. The ACCC notes there are other suppliers of School Administration Software that are not approved under the AMPS, but supply to NSW independent schools and/or supply to schools in other Australian states or territories. The ACCC also notes that it is not currently compulsory for NSW public schools to purchase software from AMPS-approved suppliers. However, market feedback suggests schools rarely contract outside the AMPS.

The proposed acquisition

40. Global Payments proposes to acquire School Bytes through a 100% share purchase.
41. Post-acquisition, Sentral and School Bytes would both be wholly owned subsidiaries of Global Payments. Global Payments intends to operate School Bytes and Sentral separately, at least for the duration of School Bytes' existing Panel Agreement, with both businesses retaining their own staff and products.

Future with and without the acquisition

42. In assessing a proposed acquisition under section 50 of the CCA, the ACCC considers the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeds (the 'with' position) to the likely future

² <https://our-hero.com/solutions-au/>

state(s) of competition if the acquisition does not proceed (the ‘without’ position), to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.

43. The ACCC is considering whether the future without the proposed acquisition could involve:
- School Bytes continuing to operate as an independent entity per the status quo, or
 - School Bytes being acquired by an alternative purchaser, such as another School Administration Software supplier. The ACCC notes that such an acquisition may require a separate review by the ACCC to consider its competitive effect.

Areas of current overlap

44. **School Information Software:** Sentral is the largest supplier of School Information Software to NSW public schools and began supplying before the establishment of the AMPS. Since the AMPS was established, School Bytes launched a School Information Software product, which it supplies to NSW public primary schools, as well as some School Information Software modules, which it supplies to NSW public high schools.
45. **Student Finance:** School Bytes is the largest supplier of Student Finance Software and began supplying NSW public schools before the establishment of the AMPS. Since the AMPS was established, Sentral launched a Student Finance Software product specifically for NSW public schools.
46. **Parent/Carer Communication & Consent:** Both Sentral and School Bytes supply Parent/Carer Communication & Consent Software through their School Information Software and Student Finance Software products.
47. Neither Sentral nor School Bytes supply Timetabling Software.

Market definition

48. The ACCC’s starting point for considering which markets will be affected by the proposed acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.
49. The ACCC is continuing to consider the scope of the relevant markets, but has focused its review on the impact of the proposed acquisition on competition for the supply of:
- School Information Software to public schools in NSW, and
 - Student Finance software to public schools in NSW.

50. The ACCC is also considering whether competition concerns may arise in relation to the supply of School Information Software and/or Student Finance Software in other Australian states or territories.

Product dimension

51. **School Information Software/Student Finance Software differentiation:** From a demand-side perspective, School Information Software and Student Finance Software have different functions and are not substitutable. Schools demand both products to serve different needs, and do not necessarily acquire them from the same supplier. From a supply-side perspective, market feedback indicates that suppliers of one category cannot quickly shift their operations to supply another category, given the cost and time involved in product development and becoming approved on the AMPS for that category.
52. The ACCC is considering whether the product dimension could be the supply of School Administration Software more broadly because some schools prefer to acquire multiple categories from the same supplier. However, as the number of School Information Software suppliers and Student Finance Software suppliers differs, and the size of the parties in each category is significantly different, the ACCC's preliminary view is that, for the purpose of its competition assessment, School Information Software and Student Finance Software should be examined separately.
53. Further, the ACCC notes that suppliers of multiple categories appear to have a degree of competitive advantage over single category suppliers, in terms of being able to cross-sell other categories of software to schools. However, the ACCC's preliminary view is that this does not mean the product dimension should be the supply of School Administration Software more broadly.
54. **Public/independent school differentiation:** For public schools, all School Administration Software, including School Information Software and Student Finance Software, must comply with the requirements set by the relevant state education departments and in the case of NSW, the requirements of the AMPS. From a demand-side perspective, NSW public schools can only choose software that is specifically tailored to the NSW public school environment. From a supply-side perspective, while some suppliers (e.g., Sentral and Compass) supply to both public and independent schools, other suppliers (e.g., SchoolworX and Xcursion) only or mostly supply to independent schools, and School Bytes only supplies to public schools. Market feedback from suppliers indicates that the level of customisation required for each customer group means suppliers that supply one school type cannot quickly shift to supply another customer group.
55. **High/primary school differentiation:** Market feedback indicates that high schools generally require more customisation and more complex functionality for School Information Software compared to primary schools, whereas Student Finance Software is generally the same for both high schools and primary schools. The ACCC's preliminary view is that high schools and primary schools may not fall into separate markets, because depending on the size or needs of the specific school, there are some substitution possibilities. From a supply-side

perspective, many suppliers supply both high schools and primary schools, and although some focus on one more than the other, the ACCC considers this can be more appropriately considered as product specialisation. However, the ACCC will continue to consider the degree of substitution between School Information Software used in high schools compared to that used in primary schools.

Geographic dimension

56. The ACCC will continue to consider the scope of the geographic dimension, but its preliminary view is that it is appropriate to focus on the effect or likely effect of the proposed acquisition on competition in NSW, where the parties' operations currently overlap.
57. The ACCC understands that the School Administration Software supplied to public schools in NSW must be customised to conform with state laws and regulations and be capable of interfacing with the NSW DoE's proprietary software.
58. From a demand-side perspective, NSW public schools are not able to switch to an interstate supplier if the supplier's School Administration Software products are designed for schools in another state, and do not meet the requirements of the AMPS in NSW. Substitution possibilities are therefore confined to those suppliers' whose products comply with the NSW DoE's requirements. For example, School Bytes' Student Finance Software was designed specifically for NSW public schools, and it has been supplied solely to NSW public schools to date.
59. From a supply-side perspective, suppliers based in other states are not able to quickly shift operations to supply School Administration Software to NSW public schools, partly because of the time and costs required to customise software and be approved under the AMPS.
60. The ACCC acknowledges that some suppliers in NSW also operate in other Australian states and territories, and School Administration Software is typically cloud-based, which means it can technically be supplied from anywhere. This may suggest that a broader geographic dimension could be appropriate. However, market feedback indicates that, to effectively compete and support customers in NSW, suppliers need to invest in sales and support staff in that state.
61. The ACCC is also considering the likely effect of the proposed acquisition on the supply of School Information Software and/or Student Finance Software to public schools in other Australian states or territories. Sentral is based in NSW, but also supplies software to public schools in Western Australia, Victoria, South Australia, and the Australian Capital Territory. The ACCC considers School Bytes could potentially expand its operations beyond NSW in the future, including to compete with Sentral.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views about relevant markets. In particular, market participants may wish to comment on:

- the benefits to a NSW public school from acquiring both School Information Software and Student Finance Software from the same supplier
- whether a NSW public high school can use a supplier's School Information Software that was originally intended for a NSW public primary school
- estimates of the time and cost involved for:
 - a supplier of School Information Software to NSW public schools to shift to supply Student Finance Software to NSW public schools,
 - a supplier of Student Finance Software to NSW public schools to shift to supply School Information Software to NSW public schools,
 - a supplier of School Information Software or Student Finance Software to NSW independent schools to shift to supply School Information Software or Student Finance Software to NSW public schools,
 - a supplier of School Information Software or Student Finance Software to NSW public primary schools to shift to supply School Information Software or Student Finance Software to NSW public high schools,
 - a supplier of School Information Software in an Australian state or territory other than NSW to supply School Information Software to NSW public schools, or
 - a supplier of Student Finance Software in an Australian state or territory other than NSW to supply Student Finance Software to NSW public schools.
- the extent to which the availability of local technical support or local presence by the School Administration Software supplier influences a school's purchasing decision.

Issue of concern: reduction in competition in the supply of School Information Software to NSW public schools

62. The ACCC's preliminary view is that the proposed acquisition is likely to substantially lessen competition in the supply of School Information Software to NSW public schools. The proposed acquisition would combine the two largest suppliers of School Information Software to NSW public schools and result in a significant increase in concentration. It would also reduce competition between Sentral and School Bytes, who the ACCC considers are close competitors in relation to primary schools and are becoming closer competitors in relation to high schools.

Significant increase in concentration

63. Sentral is the largest supplier of School Information Software to NSW public schools (high and primary), with approximately a two-third share of total supply. In 2023, School Bytes launched a School Information Software product primarily geared to NSW public primary schools, and it supplies some School Information Software modules to NSW public high schools. Since launching its School Information Software product, School Bytes has gained about a one-third share of supply.
64. Other suppliers of School Information Software to NSW public schools include Compass, Hero, Educonnex, Edsmart, ImproMation and Millenium, which collectively have less than a 10% share of supply. It is worth noting that some schools use multiple School Information Software suppliers (for instance, because they purchase School Information Software on a module-by-module basis) and therefore these shares add up to greater than 100%.
65. The ACCC considers these shares indicate that there is already a high degree of concentration in the supply of School Information Software, with Sentral and School Bytes being the largest suppliers by a considerable margin.
66. The ACCC acknowledges that the supply of School Information Software to NSW public schools has been undergoing a period of disruption, as schools are migrating from Tribal to the AMPS-approved suppliers. This migration is due to complete in June 2024. The ACCC understands that many schools have already made their purchasing decision, but may be using both Tribal and the AMPS supplier during the transition period. Accordingly, the ACCC considers the shares are a useful indication of competitive dynamics, particularly as they indicate a schools' purchasing decisions as they move away from Tribal.

Closeness of competition between the parties

67. The ACCC's preliminary view is that Sentral and School Bytes are close competitors, for the supply of School Information Software to NSW public primary schools. As School Bytes supplies some School Information Software modules to high schools, and is likely to continue to develop its products in the future, the ACCC considers they are likely to become closer competitors for the supply of School Information Software to NSW public high schools as well.
68. Global Payments submits that Sentral and School Bytes' School Information Software offerings are not directly competitive with each other because Sentral's School Information Software is better suited to large high schools and School Bytes' School Information Software is more appropriate for primary schools.
69. The ACCC notes that:
 - Sentral and School Bytes both supply a comprehensive School Information Software offering to a material number of primary schools in NSW, and primary schools consider their products as substitutable. Market feedback indicates that since School Bytes launched its School Information Software in 2023, many primary schools have switched from Sentral to School Bytes.

- Sentral supplies a comprehensive School Information Software offering to a material number of high schools. School Bytes currently supplies high schools with non-core Student Administration modules, and a small number of high schools with School Management & Operations modules.³

70. The ACCC is continuing to investigate the extent to which Sentral and School Bytes' School Information Software offering is substitutable, and the degree of product development required for School Bytes to supply a more comprehensive suite of School Information Software that is suitable for high schools.
71. However, the ACCC notes that School Bytes has made public comments that it plans to develop core Student Administration Software modules suited to high schools in the future, such as period-by-period attendance. The ACCC also understands that high schools have proactively approached School Bytes to enquire about its School Information Software, and the ACCC's preliminary view is that School Bytes' expansion to develop and supply more School Information Software modules to NSW public high schools would be a reasonable progression of its commercial strategy in a future without the proposed acquisition.
72. The ACCC further considers that, as many NSW public high schools already use School Bytes' Student Finance Software, and School Bytes' School Information Software product is a popular choice among primary schools, high schools may consider switching from Sentral to School Bytes for School Information Software if and when School Bytes develops suitable modules, particularly as market feedback indicates that some schools have a preference for a 'one stop shop'.
73. Accordingly, the ACCC is concerned the proposed acquisition will reduce competition between Sentral and School Bytes in the supply of School Information Software to NSW public primary schools, and will reduce emerging competition between them in the supply of School Information Software to NSW public high schools.

Removal of competitive constraint exerted by School Bytes

74. The ACCC is considering the competitive constraints exerted by School Bytes and whether the proposed acquisition will result in the loss of a vigorous and effective competitor.
75. The ACCC is concerned that the proposed acquisition will enable Sentral to neutralise the competitive pressure that School Bytes has been exerting. Market participants comment that, even though School Bytes has only recently launched School Information Software, many schools prefer it because of the flexible and customisable functionality, its operability within the NSW DoE environment, its low prices, and School Bytes' highly responsive service levels. Further, market

³ As noted at paragraph 24, School Information Software consists of both 'Student Administration' and 'School Management & Operations'. The ACCC understands that within the 'Student Administration' category there are core and non-core modules.

participants observe that School Bytes' price structures are more suitable for small schools, and are much cheaper compared to Sentral and Compass.

76. Further, market participants observe that School Bytes has been a driver of price competition, better customer service and increased product innovation. They are concerned that if Global Payments acquires School Bytes, there will be a loss of competitive constraint on Sentral.

Customer switching

77. The ACCC is considering whether the challenges schools face when switching School Information Software suppliers exacerbates the competition concerns that arise from the proposed acquisition.
78. The term of the Panel Agreements is 5 years and each order placed by a school is for a minimum of 12 months and a maximum of 24 months, meaning there are regular opportunities for schools to consider switching.
79. However, the ACCC is concerned that in practice schools face challenges to switching School Information Software suppliers. Market feedback suggests that once School Information Software becomes embedded in a school's IT systems, schools are reluctant to switch, due to the disruption it causes to change software. Market participants indicate that when schools switch, they often need to maintain the legacy software for some time. The cost of maintaining two software products takes away from already resource-constrained budgets. Switching also requires a major launch process that involves re-training staff and parents/carers about the new software.
80. The ACCC has received feedback that this reluctance of schools to switch suppliers affects the commercial viability of new entrants and existing suppliers seeking to gain scale, as they find it challenging to win enough schools to justify the investment to enter, and the ongoing costs of supply.
81. Market participants observe that schools will stay with a School Information Software supplier, unless they are extremely dissatisfied with the service, to avoid switching. However, some schools have commented that they would switch where a supplier is able to supply a product that is superior in terms of value, functionality and/or support, and point to School Bytes as an example.
82. The ACCC notes that the switching that has occurred in the last two years has taken place in unique circumstances in which the NSW DoE established the AMPS and decided to decommission Tribal. This means that many schools have made the decision to switch for the first time, but this level of switching may not be representative of competitive dynamics in the future.
83. The ACCC accepts that the prevailing reluctance to switch would occur with and without the proposed acquisition. However, the ACCC is concerned that the challenges schools face may exacerbate the competition concerns with the proposed acquisition.

Barriers to entry and expansion

84. The ACCC is considering whether new entry or expansion would be likely, timely and sufficient to prevent a substantial lessening of competition that might otherwise result from the proposed acquisition.
85. Market feedback suggests that barriers to entry to supply School Information Software to NSW public schools are likely to be high, particularly for businesses that are not already supplying School Administration Software elsewhere, and include:
- financial capital and technological capability to design and deliver software solutions specifically for school environments that are customisable according to each school's specific needs
 - significant time and costs in the application process to become an approved AMPS-supplier, including compliance with various functional and non-functional requirements, and integration with departmental systems
 - ongoing requirements to remain on the AMPS, including a requirement to have onshore and available customer support and compliance with cybersecurity measures, and
 - the fact that most schools already use Sentral and School Bytes and there are challenges to switching.
86. The ACCC acknowledges that for suppliers operating outside of NSW, or supplying to independent schools or other School Administration Software categories, commencing supply of School Information Software to NSW public schools will not take as long or be as costly, in terms of product development and/or product customisation. However, these suppliers will still need to become AMPS-approved, at the time the NSW DoE conducts a refresh. They will also need to comply with the ongoing requirements to remain on the AMPS. As with new suppliers, they will also be faced with the fact that most schools already use Sentral and School Bytes, are familiar with those suppliers, and may be reluctant to switch.
87. Global Payments submits that an existing supplier with a basic School Information Software product could develop a product that complies with the NSW DoE's requirements in less than 6 months. The ACCC notes that it has received significantly longer estimates of between 1-2 years from other market participants, including School Administration Software suppliers.
88. The ACCC notes that Hero began supplying School Information Software to NSW public schools in 2023. This suggests entry is feasible for established suppliers based outside NSW. Although the AMPS is still in its early stages, the ACCC notes that Hero has only achieved marginal growth to date.
89. The ACCC considers that for AMPS-suppliers that are already supplying School Information Software, the most significant barrier to expansion is that, as discussed above, most schools already use Sentral and School Bytes and may

be reluctant to switch. The ACCC observes that one School Information Software supplier has already exited the AMPS, and the ACCC considers there is a risk other suppliers could exit if they do not gain enough scale to cover the ongoing costs of supply.

Competitive constraint from other competitors

90. The ACCC is considering whether other School Information Software suppliers could exert sufficient competitive constraint on Global Payments if the proposed acquisition proceeds.
91. There are currently 7 approved School Information Software suppliers on the AMPS, including Sentral and School Bytes. The next closest competitors to the parties (based on number of schools/customers), are Compass and Hero. The ACCC observes that, despite the presence of these alternative suppliers, schools overwhelmingly use either Sentral or School Bytes. Compass and Hero have only managed to achieve marginal growth and collectively have a share of supply that is around 5%.
92. The ACCC is considering whether schools are choosing Sentral and School Bytes because of their ability to supply multiple categories and provide something close to a 'one-stop-shop'. However, the ACCC notes that Compass supplies all categories of School Administration Software, but has not been able to achieve comparable scale in NSW. The ACCC is continuing to investigate whether this is due to the first-mover advantages of Sentral and School Bytes in relation to School Information Software and Student Finance Software products (before the establishment of the AMPS), and their existing relationships with schools, or for other reasons.
93. As noted above, the ACCC acknowledges that the supply of School Information Software to NSW public schools has undergone a period of disruption, with the establishment of the AMPS and the upcoming decommissioning of Tribal, which is due to be completed by 30 June 2024. However, the ACCC understands that while some schools are still using Tribal during the transition period, most schools have selected a School Information Software supplier from the AMPS. Accordingly, the ACCC does not anticipate the level of switching that has occurred in recent years is likely to be representative of future competitive dynamics.
94. The ACCC's preliminary view is that, despite the presence of multiple School Information Software suppliers on the AMPS, these suppliers are unlikely to exert significant competitive constraint on Sentral and School Bytes post-acquisition. This is due to the number of schools that already use Sentral and School Bytes, the low proportion of schools that are yet to decide their future AMPS supplier once Tribal is decommissioned, the barriers to entry and expansion, and the challenges schools face when switching.

Countervailing power of the NSW DoE

95. The ACCC is considering the extent to which the NSW DoE can impose constraints on Sentral and School Bytes, or otherwise use its position to reduce the risk of horizontal unilateral effects arising from the proposed acquisition.
96. Global Payments submits that the NSW DoE has significant countervailing power, including through its relationship with NSW public schools and via the AMPS. Global Payments points to the establishment of the AMPS, the limitation on schools purchasing software outside the AMPS, and the price caps contained in the Panel Agreements as evidence of its countervailing power.
97. The ACCC observes the terms of the Panel Agreements (as discussed at paragraphs 28-29) enable the NSW DoE to exert some constraint on Sentral's and School Bytes' ability to raise prices or reduce service levels. The ACCC also recognises that the NSW DoE may enforce its contractual rights for specific instances of contractual breaches.
98. The ACCC is also continuing to investigate the extent to which the NSW DoE could lower barriers to entry or expansion, for instance, by changing the conditions to become approved on the AMPS or by sponsoring new entry or expansion.
99. However, the ACCC's preliminary view is that the countervailing power of the NSW DoE is unlikely to prevent a substantial lessening of competition. The ACCC is concerned about the market power of Sentral and School Bytes, and the fact that, post-acquisition, the NSW DoE's ability to rely on the threat of schools switching to the next largest supplier will be significantly diminished.

ACCC's preliminary views

100. In summary, the ACCC is concerned that the proposed acquisition is likely to:
 - bring the two largest suppliers of School Information Software to NSW public schools under common ownership and result in a significant increase in concentration,
 - reduce competition between Sentral and School Bytes, who are close competitors in respect of primary schools and are becoming closer competitors in respect of high schools, and
 - reduce the competitive constraints of a vigorous and effective competitor in the form of School Bytes.
101. The ACCC is concerned other suppliers are unlikely to significantly constrain Sentral and School Bytes post-acquisition. This is particularly so considering the number of schools that already use Sentral and School Bytes, the low number of schools that are still to decide on a School Information Software supplier once Tribal is decommissioned, customer stickiness, and the height of barriers to entry. These factors, in combination, make it difficult for small competitors and new entrants to build sufficient scale to constrain Sentral or School Bytes.

102. The ACCC is also concerned that while the NSW DoE can impose price increase limitations and minimum service level obligations as part of its Panel Agreements with suppliers, this is not equivalent to the competitive constraint that an effective competitor would exert (i.e. the extent to which Sentral and School Bytes compete by improving services, investing in product development and innovation, and lowering prices).
103. Accordingly, the ACCC is concerned that the proposed acquisition is likely to result in lower service quality and less innovation in the supply of School Information Software to NSW public schools than would occur in a future without the proposed acquisition. The ACCC is also concerned that the proposed acquisition will weaken price competition below the price caps during the term of the Panel Agreements, and when the Panel Agreements are re-negotiated, may result in higher prices than would occur in a future without the proposed acquisition. Global Payments' intention to operate Sentral and School Bytes separately post-acquisition does not adequately mitigate these concerns.

Questions for market participants

The ACCC invites comments from market participants on the concerns in relation to the supply of School Information Software to NSW public schools. In particular, market participants may wish to comment on the following:

- the degree of competitive constraint provided by other suppliers, such as Compass, Hero, Educonnex, Edsmart, ImproMation and Millenium
- the extent to which School Bytes provides a differentiated offering that is difficult or unlikely to be replicated by other competitors
- whether the price controls and minimum service obligations contained in the Panel Agreements are sufficient to prevent price increases or a reduction in service levels, and
- the extent to which the scale of Sentral and School Bytes affects the incentives for smaller competitors to continue supplying School Information Software to NSW public schools or for new entrants to begin supplying School Information Software to NSW public schools.

Issue of concern: reduction in competition in the supply of Student Finance Software to NSW public schools

104. The ACCC's preliminary view is that the proposed acquisition is likely to substantially lessen competition in the supply of Student Finance Software to NSW public schools. The proposed acquisition would combine the two largest suppliers of Student Finance Software to NSW public schools and result in a significant increase in concentration. It would also reduce competition between Sentral and School Bytes, who are likely each other's closest competitor.

Significant increase in concentration

105. School Bytes is the largest supplier of Student Finance Software to NSW public schools, with approximately a 75% share of supply. Sentral started supplying Student Finance Software specifically suited to NSW public schools in 2023 and has gained about a 20% share. The only other approved supplier of Student Finance Software, Compass, has a share of around 5%. This indicates that there is already a high degree of concentration, with School Bytes and Sentral being the largest suppliers.
106. As noted above, the ACCC acknowledges that current shares of supply to NSW public schools may not be entirely representative of future shares but are still a useful indication of competitive dynamics. Specifically, the ACCC notes that Tribal has only recently been decommissioned (31 March 2024) and the AMPS refresh has not yet concluded, which may mean additional suppliers could become approved. Nevertheless, the ACCC considers these shares are still a useful indication of competitive dynamics.

Closeness of competition between the parties

107. The ACCC's preliminary view is that, in respect of the supply of Student Finance Software to NSW public schools, the parties are each other's closest competitor.
108. There are currently only 3 AMPS-approved suppliers of Student Finance Software (Sentral, School Bytes, and Compass), and schools overwhelmingly use either Sentral or School Bytes. Although market feedback indicates that School Bytes' Student Finance product is more expensive, it is considered better quality compared to Sentral's and Compass' more recently launched products.
109. As with the supply of School Information Software, market feedback suggests that School Bytes is an innovative competitor that has automated manual processes and provides excellent customer service. The ACCC is concerned that with Sentral recently launching Student Finance Software for NSW public schools, the proposed acquisition will reduce competition between Sentral and School Bytes.

Customer switching

110. The ACCC repeats the concerns about the challenges faced by schools to switching School Information Software suppliers. Given the level of concentration in the supply of Student Finance software, the ACCC has preliminary concerns that the reluctance of schools to switch may entrench the positions of School Bytes and Sentral post-acquisition, and represent a barrier to entry and expansion. However, the ACCC is continuing to consider whether there are differences in the product categories such that switching Student Finance Software suppliers is quicker, cheaper and more straightforward compared to School Information Software.

Barriers to entry and expansion

111. The ACCC is considering whether new entry or expansion would be likely, timely and sufficient to prevent a substantial lessening of competition that might otherwise result from the proposed acquisition.
112. As with School Information Software, the ACCC is considering the height of barriers to entry for suppliers that do not have any School Administration Software products, and for existing suppliers of Student Finance Software in other geographic areas, to independent schools or existing suppliers of other categories of School Administration Software. The ACCC is also considering the height of barriers to expansion for suppliers of Student Finance Software to NSW public schools, who are seeking to gain scale.
113. Market feedback suggests that compared to School Information Software, it would not take as much time or capital for a new entrant to develop Student Finance Software or for a supplier of another School Administration Software category to develop Student Finance Software suitable for NSW public schools. Further, the ACCC understands that the NSW DoE requirements for Student Finance Software are simpler and more uniform than for School Information Software.
114. The ACCC notes that School Bytes was established in 2015, following changes in NSW relating to how public schools handled finances and was the first to integrate payments with Westpac's Government PayWay service. The ACCC acknowledges that School Bytes achieved substantial scale and uptake for its Student Finance Software without access to significant finance or resources. However, the ACCC considers that this is in part due to its first-mover advantage, and the fact the AMPS had not yet been established.
115. As noted above, the NSW DoE intends to conduct a refresh of the AMPS periodically, and the first refresh has not yet concluded. The ACCC is concerned that even if it does not take as much time and capital to develop a Student Finance Software product (compared to a School Information Software product), there is still the barrier of becoming approved on the AMPS and the challenge of converting schools that have become accustomed to using the existing suppliers.

Competitive constraint from other competitors

116. As noted above, in addition to Sentral and School Bytes, Compass is the only other AMPS-approved Student Finance supplier. Compass has only managed to achieve marginal growth to date, and schools overwhelmingly use either Sentral or School Bytes.
117. The ACCC understands the NSW DoE may appoint additional suppliers once the AMPS refresh concludes, and therefore the ACCC considers that competition to supply Student Finance Software is still developing. However, the ACCC is concerned that the proposed acquisition may undermine this potential future competition and raise barriers to entry and expansion for new suppliers, as it will likely be harder for them to gain sufficient scale to exert constraint on Sentral and School Bytes post-acquisition. The ACCC is concerned that if other

suppliers, including Compass, do not achieve sufficient scale to cover ongoing costs, they may exit the AMPS for Student Finance Software.

Countervailing power of the NSW DoE

118. The ACCC is investigating the extent to which the NSW DoE has countervailing power in relation to the supply of Student Finance Software. In addition, the ACCC is investigating whether there are any differences between School Information Software and Student Finance Software that impact on the NSW DoE's countervailing power, such that it could be used to prevent a substantial lessening of competition.
119. However, at this stage, the ACCC's preliminary view is that the countervailing power of the NSW DoE is unlikely to prevent a substantial lessening of competition. The ACCC is concerned about the market power of Sentral and School Bytes, and the fact that, post-acquisition, the NSW DoE's ability to rely on the threat of schools switching to the next largest supplier will be significantly diminished.

ACCC's preliminary views

120. In summary, the ACCC is concerned that the proposed acquisition would:
- bring the two largest suppliers of Student Finance Software to NSW public schools under common ownership and result in a significant increase in concentration, and
 - reduce competition between Sentral and School Bytes, who are likely to be each other's closest competitors.
121. The ACCC is concerned that other suppliers are unlikely to significantly constrain Sentral and School Bytes post-acquisition. The ACCC is continuing to investigate the extent of customer stickiness, and the height of barriers to entry and expansion. However, at this stage, the ACCC is concerned that the proposed acquisition will make it difficult for small competitors and new entrants to acquire sufficient scale to constrain Sentral or School Bytes.
122. The ACCC is also concerned that while the NSW DoE can include price increase limitations and minimum service level obligations in the Panel Agreements, these are not equivalent to the competitive constraint that an effective competitor would exert (i.e. the extent to which Sentral and School Bytes compete by improving services, investing in product development and innovation, and lowering prices).
123. The proposed acquisition would bring Sentral and School Bytes under common ownership, and the ACCC is concerned that the proposed acquisition is therefore likely to result in lower service quality and less innovation in the supply of Student Finance Software to NSW public schools than would occur in a future without the proposed acquisition. The ACCC is also concerned that the proposed acquisition will weaken price competition below the price caps during the term of the Panel Agreements, and when the Panel Agreements are re-negotiated,

may result in higher prices than would occur in a future without the proposed acquisition.

Questions for market participants

The ACCC invites comments from market participants on the concerns in relation to the supply of Student Finance Software to NSW public schools. In particular, market participants may wish to comment on the following:

- the degree of competitive constraint imposed by other suppliers on Sentral and School Bytes
- the extent to which Sentral or School Bytes provides a differentiated offering that is difficult or unlikely to be replicated by other suppliers
- whether the price controls and minimum service obligations contained in the Panel Agreements are sufficient to avoid a reduction in service levels or loss of innovation, and maintain price competition
- whether it is easier for schools to switch Student Finance software suppliers than School Information Software suppliers, and the time and cost involved in switching
- the extent to which the size of Sentral and School Bytes affects the incentives for small competitors to continue supplying Student Finance Software to NSW public schools or for new entrants to begin supplying Student Finance Software to NSW public schools
- the degree of product development required for an existing supplier or a new entrant to develop Student Finance Software suitable for NSW public schools.

Issue that may raise concern: reduction in potential competition for the supply of School Administration Software in other geographic areas

124. The ACCC is considering the extent to which the proposed acquisition may substantially lessen competition in the supply of School Information Software or Student Finance Software to public schools in other Australian states or territories. While some School Administration Software is configured to meet the needs of schools in particular states or territories, the broader geographic operation of other suppliers demonstrates the ability to operate across regions.
125. Sentral is based in NSW, but also supplies to public schools in Western Australia, Victoria, South Australia and the Australian Capital Territory. School Bytes currently only supplies to NSW public schools, but the ACCC considers it could potentially expand its operations beyond NSW in the future, including to compete with Sentral.
126. The ACCC is therefore concerned that the proposed acquisition may limit potential future competition in other geographic areas beyond NSW and will continue to investigate whether this is likely to raise concerns.

Questions for market participants

The ACCC invites comments from market participants on the concerns in relation to the limitation of potential future competition between Sentral and School Bytes in geographic areas outside NSW. In particular, market participants may wish to comment on the following:

- the degree of development that would be required for School Bytes to create School Information Software or Student Finance Software suited to public schools in other states and territories, including the time and cost involved, and
- the willingness of public schools in other states and territories to switch suppliers and use School Bytes.

ACCC's future steps

127. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **14 June 2024**.
128. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
129. The ACCC intends to publicly announce its final view by **8 August 2024**. However the anticipated timeline may change in line with the [Informal Merger Review Process Guidelines](#). A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.